

## Multiple Choice (10 marks)

1. A loan of \$1,262.77 is made on March 15 and repaid on August 12. If the interest rate is 8% per year, what is the amount of interest? (use exact time)
  - (a) \$45.67
  - (b) \$35.28
  - (c) \$53.60
  - (d) \$48.99
  - (e) \$41.52
2. These objectives are often the most suitable when firms operate in a market dominated by a major competitor and where their financial resources are limited.
  - (a) Hold objectives.
  - (b) Expansion objectives.
  - (c) Market objectives.
  - (d) Competitive objectives.
  - (e) Niche objectives
3. Mr. I.F.Sarbopurchased a fire insurance policy for his home withan annual premium of \$32 on July 17. On September 22 hecanceled his policy. What was his refund?
  - (a) \$12.00
  - (b) \$14.72
  - (c) \$6.44
  - (d) \$16.64
  - (e) \$32
4. A television sells for \$226.50. The markup is 30% based on the cost. Find the cost.
  - (a) \$190.20
  - (b) \$152.35
  - (c) \$198.75
  - (d) \$174.23
  - (e) \$210.00
5. What is the tax on a store with an assessed valuation of 6,640, *if the tax rate is* 3.87 per \$100 and an additional charge of 2% of the tax is added as a collector's fee?

- (a) \$256.97
- (b) \$275.00
- (c) \$300.00
- (d) \$262.11
- (e) \$258.00

## True / False (10 marks)

*Answer True or False*

6. True or False: The amount remitted in payment after applying the discounts to the invoice was \$338.27.
7. True or False: The net price of the Speedway Racing Set after applying both a 10% and a 20% discount on its list price of 32 is 29.12.
8. True or False: The combined effect of a 20% discount followed by a 10% discount results in an overall discount of 28%.
9. True or False: Cognitive dissonance is the process of evaluating products based on their alignment with a consumer's self-concept.
10. True or False: The cost of 200,000 worth of stock at retail with a 30

## Long Form Response (20 marks)

*Answer each question with a clear and complete explanation.*

11. Analyze the financing terms of George Mason's grand piano purchase, including the calculation of the interest rate on the installment payments. Discuss the implications of this interest rate in a broader financial context.
12. Discuss the calculation and significance of earnings per share (EPS) for Velco Corporation, given a profit of \$5,250 and 1,250 shares outstanding. Analyze its implications for shareholders.

*End of Paper*